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US Economics Weekly

Markets contemplate an AI slowdown

CITI'S TAKE

US (and global) economic growth has become increasingly dependent on the AI build-out. This week, markets began to put more probability on outcomes where AI spending slows, leading to lower equity prices, wider credit spreads, and lower Treasury yields. After a 25bp rate hike in September, our base case is for the Fed to "pause" next week and raise rates 25bp in December, but a further decline in equity prices could mean the Fed's next move will be to cut rates.

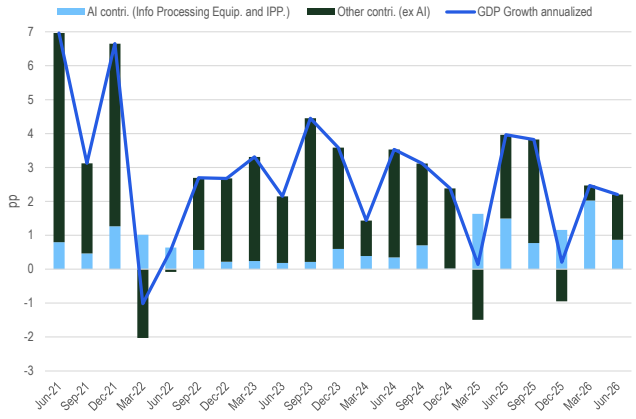
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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

There has been one obvious downside risk to growth for some time now: that at some point, concerns about the return on investing in AI (relative to the cost of funding) would lead surging AI investment to slow or even decline. AI-related investment has accounted for a significant share of US GDP growth over the last two years, meaning the growth outlook is highly dependent on whether this tailwind continues to blow.

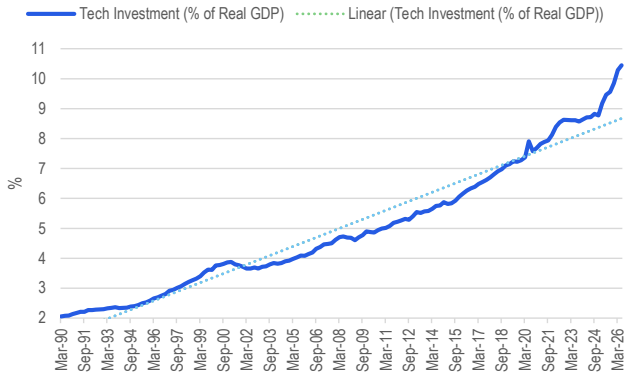
Figure 1. AI is a substantial driver of GDP growth



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Source: Citi Research, BEA

Figure 2. Investment in tech is a large share of GDP

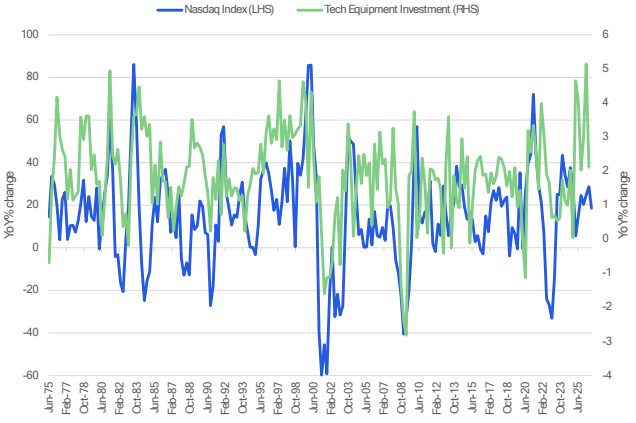


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Source: Citi Research, BEA

Our interpretation of the decline in Treasury yields, the drop in equity prices, and the widening in credit spreads is that markets are now affording a more significant probability to this outcome.

Figure 3. Lower tech-related equity prices could mean a slowdown in tech investment

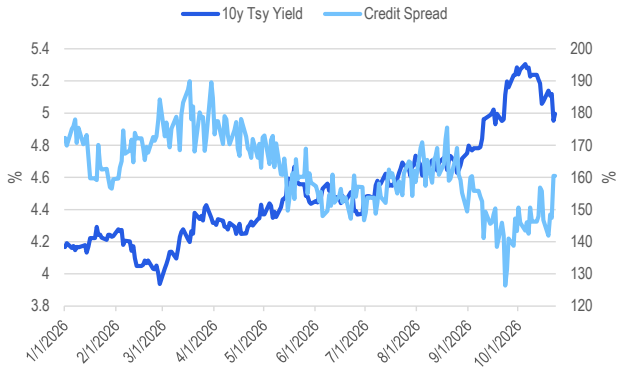


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Tech investment is defined as the sum of real private nonresidential investment in information processing equipment and real private nonresidential investment in intellectual property products.

Source: Citi Research, Bloomberg, BEA

Figure 4. Treasury yields moved lower as credit spreads widened

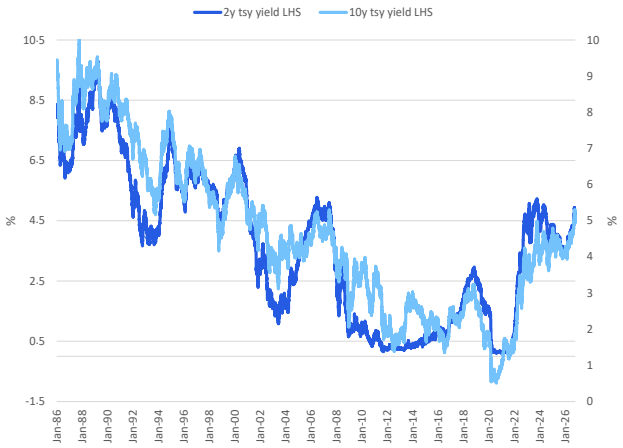


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Source: Citi Research, Bloomberg

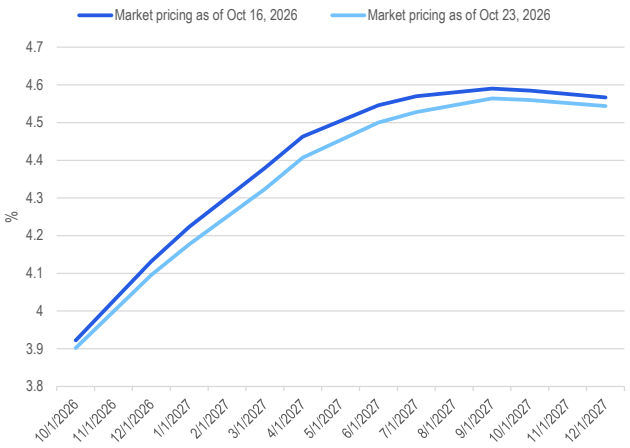
We have argued that the rise in longer-term Treasury yields has primarily been due to (1) more hawkish central bank reaction functions and (2) expectations for strong economic growth. It is not surprising then that Treasury yields are declining as markets price a more uncertain growth outlook and how much appetite central banks will have to hike into that uncertainty.

Figure 5. Rising yields may be halted by lower growth expectations



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Source: Citi Research, Bloomberg

Figure 6. Markets are pricing a lower rate path from the Fed

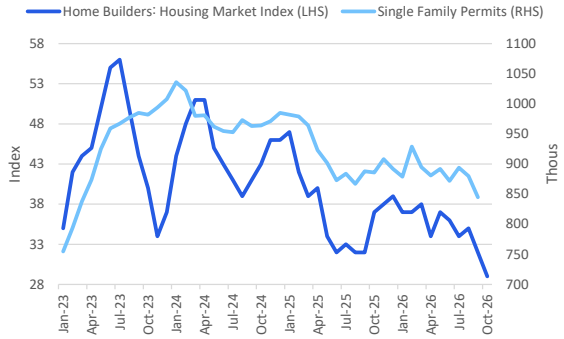


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Source: Citi Research, Bloomberg

In addition to AI-investment, resilient consumer spending has supported US economic growth, but an equity sell-off would also lead to slower consumer spending.

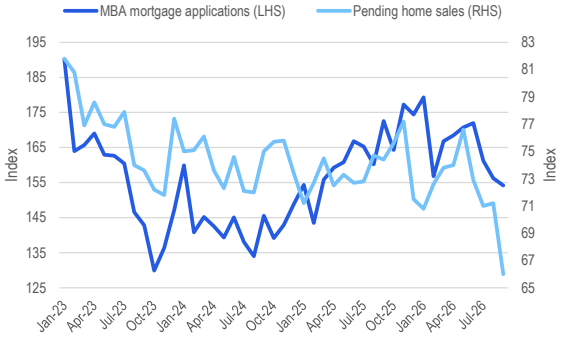
Higher interest rates are already having an effect on the most interest-rate sensitive sector of the economy: housing. With thirty-year mortgage rates reaching 7.5%, pending home sales, permits for single-family housing starts, and mortgage applications for new purchases are all falling rapidly. The modest 1-3%YoY house price appreciation this year could be followed by relatively flat house prices in 2027 if these higher mortgage rates are maintained.

Figure 7. Housing construction could fall further



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Source: Citi Research

Figure 8. Mortgage applications for purchases are pulling back



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Source: Citi Research

Next week—FOMC meets as GDP and PCE loom

Fed officials are widely expected to keep policy rates unchanged on Wednesday following a rate hike in September. We do not expect Chair Warsh to give much new guidance, reiterating that inflation is too high and officials will act as appropriate to achieve lower inflation. Most interesting would be any comments on recent equity and credit market developments.

Q3 GDP is expected to show the economy remains resilient, with growth accelerating to a 3.1% annualized pace as strong consumer spending, business investment, and continued AI-related capital expenditures support activity. However, strong imports tied to investment demand should continue to weigh on headline GDP, while residential investment likely remains a drag amid higher interest rates.

September PCE data should indicate that price pressures remain firm. Core PCE should rise 0.31%MoM and 3.1%YoY. Markets may be more sensitive to any downside surprise in growth figures as most details of core PCE should be mostly unsurprising following CPI and PPI data.

Beyond GDP and PCE, the employment cost index will offer an important read on labor cost pressures, while durable goods orders should provide another gauge of business investment strength, particularly in AI-related sectors. Consumer confidence, housing data, and weekly jobless claims should help round out the picture of whether demand and labor market conditions remain resilient heading into year-end.

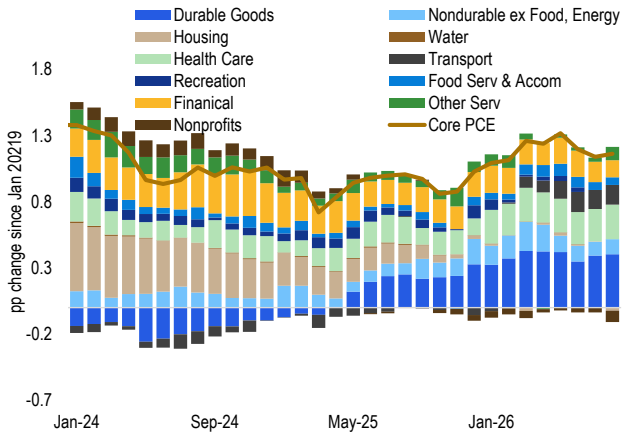
Veronica Clark

PCE Price Index MoM – Citi: 0.5%, median: 0.5%, prior: 0.3%
PCE Price Index YoY – Citi: 3.6%, median: 3.6%, prior: 3.4%
Core PCE MoM – Citi: 0.3%, median: 0.3%, prior: 0.2%
Core PCE YoY – Citi: 3.1%, median: 3.1%, prior: 3.1%

Core PCE inflation should rise 0.31%MoM in September and to 3.1%YoY. Unexpectedly strong owners' equivalent rent will imply stronger housing services inflation in PCE but will boost core PCE less than core CPI given differences in weightings. Stronger used car prices will also boost PCE by a bit less than CPI. But core goods prices are still likely to rise ~0.2%MoM overall with a larger boost from details like magazines. Components that have been impacted by strong AI-related demand like computer software and accessories should move largely sideways with new methodology. Details of a 0.35% increase in "supercore" PCE should be mixed, with softer medical and professional services (a 1% decline in legal services under new methodology) but stronger airfares than in CPI. With airfares in CPI possibly starting to slow, further upside to airfares in PCE may be limited in coming months.

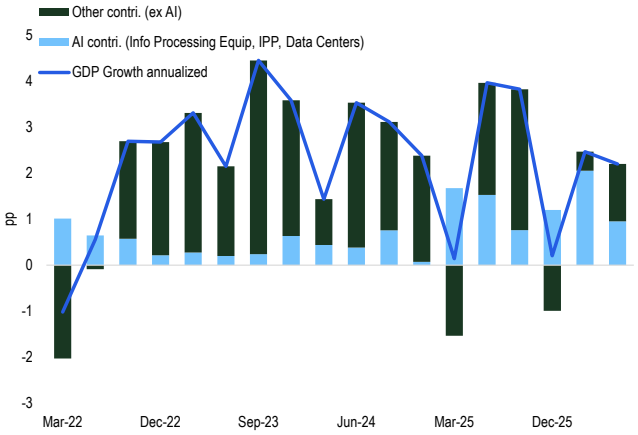
Headline PCE should rise 0.5%MoM due to stronger energy prices but soft food prices and climb to 3.6%YoY.

Figure 9. A boost from airfares in PCE may start to slow in coming months



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Source: Citi Research, BEA

Figure 10. AI-related parts of GDP have been very strong



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GDP Annualized QoQ – Citi: 3.1%, median: 3.0%, prior: 2.2%
Personal Consumption – Citi: 3.5%, median: 3.5%, prior: 3.8%
Core PCE QoQ – Citi: 2.4%, median: 2.4%, prior: 3.3%

We expect a strong 3.1%QoQ annualized increase in real GDP in Q3, with continued strength in domestic demand following a very strong increase in Q2, but while details of quarterly growth data suggest continued resilience, Q3 data does not exactly align with the recent narrative that growth is reaccelerating. On an annual basis, Q3 GDP should slow to 2.0%YoY as last Q3 was even stronger at +3.9%. This would be the softest annual pace since late 2022 (excluding the Q4-2025 government shutdown). Annual growth rates over the next two quarters will be skewed by the Q4-2025 drop in activity and Q1-2026 rebound in activity due to the 2025 government shutdown.

One key reason for the diverging narrative of strong activity but softer GDP growth is that while domestic demand remains supported by strong AI investment, much of this investment is imported, and thus does not reflect domestic production. Advance release trade data for September may help fine tune estimates of Q3 GDP growth as recently strong imports have weighed on GDP. This should partly be offset by stronger inventories, which boost GDP by about 2pp in our forecast.

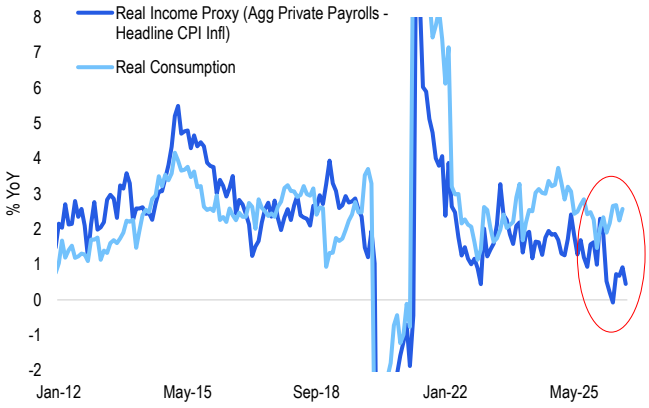
But business fixed investment is also likely to remain strong, with an over-20% annualized increase in equipment investment in Q3. Structures investment should rise further after stabilizing in Q2 following many quarters of decline, led by building of data centers and increased mining investment related to an increase in energy production. Consumption should rise a strong 3.5%, but could slow in Q4, particularly for durable goods. Residential investment should fall again as single family housing construction and existing home sales have started to pullback given higher rates. Further declines in residential investment are likely in Q4.

Personal Income – Citi: 0.2%, median: 0.3%, prior: 0.2%
Personal Spending – Citi: 0.6%, median: 0.5%, prior: 0.9%

Personal income should rise 0.2%MoM in September, in line with a modest increase in nominal aggregate payrolls. After adjusting for higher prices in September, real payroll income growth remains soft, up only modestly on an annual basis. But despite still-soft real income growth, spending has remained resilient, continuing to climb at a moderate average pace despite some recent monthly volatility. Softer real income growth for longer could present a growing headwind for continued spending.

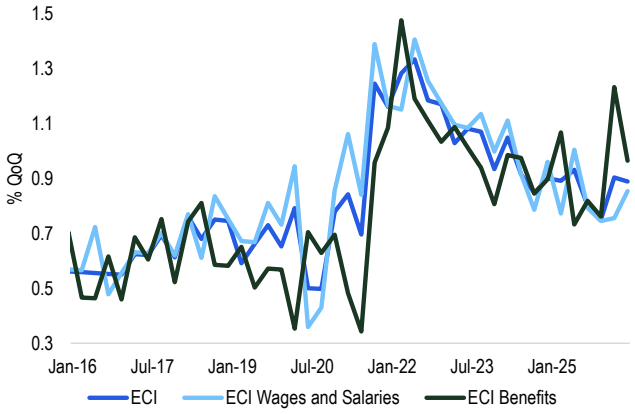
We expect a 0.6%MoM increase in nominal spending in September, which would imply the savings rate falls further from already-low levels. Strong nominal spending would be in line with a 0.8% increase in retail sales in September, but real spending should be softer as much of this strength was due to higher gas prices. Retail control group sales were more modest, up 0.1%MoM, suggesting a softer underlying trend of spending. Still, some details like food services sales remain strong and should correspond with solid services spending.

Figure 11. Soft real income growth should weigh on spending



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Source: Citi Research, BEA

Figure 12. Benefits costs have been strong recently



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Source: Citi Research, BLS

Employment Cost Index – Citi: 0.8%, median: 0.8%, prior: 0.9%

We expect the employment cost index to rise 0.8%QoQ in Q3 following a 0.9% increase in Q2. The most important detail of ECI, which is typically the Fed's preferred wage measure, is that the wages and salaries component should continue slow on an annual basis. This would be in line with similar data like the Atlanta Fed's wage tracker which has shown wage growth essentially moving sideways at a pre-pandemic pace this year. On an annual basis, ECI wages and salaries are still running a bit stronger, up 3.4%YoY in Q2 compared to pre-pandemic increases of around 2.5-3%. However, there could still be some upside risk to ECI overall from stronger benefits costs. This component of ECI has picked-up over the last few quarters.

Labor costs remaining somewhat stronger overall could still suggest upward pressure on services prices as input costs remain elevated, but strength led by wages and salaries would be a bit more inflationary than strength led by benefits costs, as higher wages and salaries would imply more ability for consumers to pay higher prices. This does not seem to be the case in recent quarters. High benefits

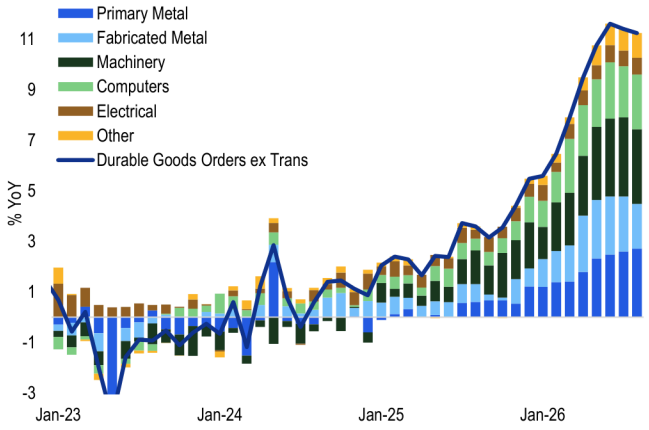
costs could also further weigh on firms' demand for workers, constraining wage growth more.

Durable Goods Orders – Citi: 1.0%, median: 1.4%, prior: -0.1%
Durable Goods Orders ex Trans – Citi: 1.1%, median: 0.5%, prior: 0.2%
Capital Goods Orders Nondef ex Air – Citi: 1.2%, median: 0.7%, prior: 1.6%

Durable goods orders should remain strong in September, boosted by strong real investment demand, largely related to AI, and also upside risks to prices for various durable goods. Total durable goods should rise 1.0% with strength in aircraft orders but also a strong 1.1% increase in durable goods orders excluding transportation. Strength in aircraft production may be helping to support activity in other durable goods sectors such as metals.

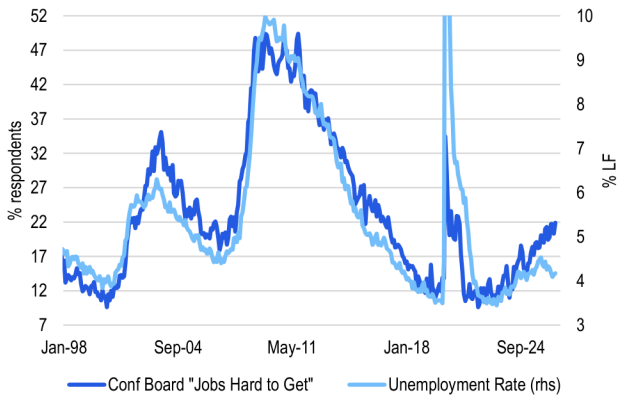
But while investment demand has been consistently strong this year, we would note some building headwinds into next year from higher rates and fading fiscal support from OBBBA tax incentives. The downward impact on investment in large durable goods due to higher rates would likely impact non-AI related subsectors such as autos. Orders for motor vehicles could pull back in September in line with softer motor vehicle production. In general, while durable goods orders broadly remain strong, they may be peaking on a year-on-year basis, with orders moving more sideways in recent months.

Figure 13. The increase in durable goods orders may have peaked on an annual basis



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Source: Citi Research, Bureau of the Census

Figure 14. Consumer sentiment around the labor market remains poor



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Source: Citi Research, The Conference Board

Conference Board Consumer Confidence – Citi: 82.1, median: 80.3, prior: 81.9

After a large decline in September, we expect a modest rebound in the Conference Board's consumer confidence index to 82.1 in October. This would be the first rise in confidence in four months, albeit to a still-low level. Weak consumer sentiment has not necessarily corresponded with softer consumer spending in recent years, but details of the Conference Board survey could be helpful indicators for some hard activity data.

In particular, we are most focused on the labor market differential (the share of respondents that say jobs are plentiful less those that say jobs are hard to get),

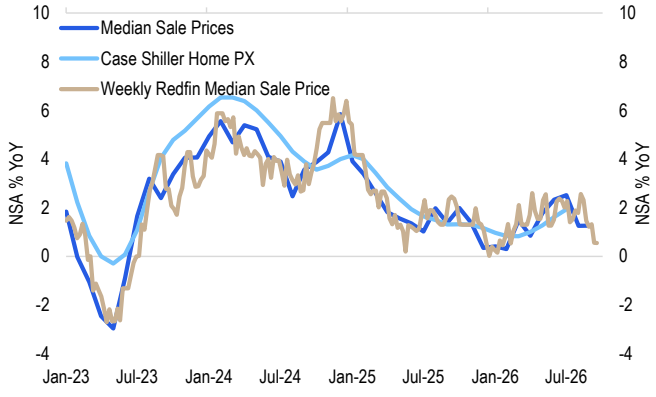
which fell to a new recent low in September. For the last two months, an increase in the labor market differential corresponded with stronger job growth in August while the drop in the labor market differential in September signaled weaker growth. In general, the share of respondents that describe jobs as hard to get would typically be associated with a much higher unemployment rate. At the very least, we do not expect poor sentiment around hiring conditions to be an environment that creates much upward pressure on wages.

S&P Case Shiller 20-City MoM SA – Citi: 0.33%, median: NA, prior: 0.32%
S&P Case Shiller 20-City YoY – Citi: 2.35%, median: NA, prior: 2.47%
S&P Case Shiller US HPI YoY – Citi: 1.79%, median: NA, prior: 1.93%

Case Shiller home prices should rise modestly on the month in August in seasonally adjusted terms, and continue to rise by around 1-3%YoY, although the annual pace may ease slightly compared to in July. In general, the Case Shiller index is our preferred measure for the trend of home prices, as CS will control for factors like housing quality by tracking home resales over time. Modest price increases in recent years are running below a typical pace of home price appreciation of around 4-6%.

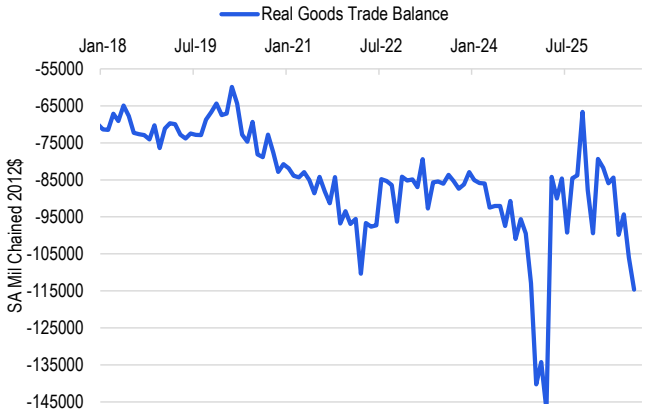
Case Shiller prices are not the most timely indicator for the path of home prices. First, the index is released a few months after the reference month, making it somewhat stale. Second, resale homes are counted as sold a few months after the buying process begins, thus reflecting demand conditions from a few months prior. Lastly, the Case Shiller index uses a 3-month moving average of prices, making it slow to change trends. More timely weekly data on median sale prices have shown home prices softening again in recent weeks. As high rates weigh on affordability, we expect home prices to continue easing and would not be surprised to see particularly soft Case Shiller home prices by early 2027.

Figure 15. Home prices should slow more in coming months



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Source: Citi Research, S&P

Figure 16. A widening in the real trade balance will weigh on GDP growth



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Source: Citi Research, Bureau of the Census

New Home Sales – Citi: 654k, median: 652k, prior: 684k
New Home Sales MoM – Citi: -5.7%, median: -5.5%, prior: 6.4%

New home sales should fall to 654k in September and could continue to decline in coming months as higher mortgage rates weigh on demand. Relative to their history, new home sales have remained more supported than very low existing home sales over the past few years. This likely in part reflects that the number of new homes to buy has been much more elevated compared to existing homes for sale. As demand for housing weakens again with higher rates, elevated supply of new homes for sale could mean further pullback in any new construction plans. Weaker residential construction should mean softer employment in this sector as well, which would keep pressure on construction sector wages limited despite strong for AI-related construction activity.

Advance Goods Trade Balance – Citi: -$130.2b, median: -$125.0b, prior: -$132.1b

We expect a slight tightening in the trade balance in September to -$130.2 billion from -$132.1 billion with increases in both exports and imports. Real trade data will be more important however, as some of stronger nominal exports and imports will reflect factors like higher prices, especially in September as energy prices rose during the month. But even if the trade balance in real terms is also somewhat tighter, a substantial widening in the last few months is likely to imply that net exports again weigh on GDP growth in Q3. Much of the recent strength in imports reflects surging demand for AI-related investment goods such as computers and electronics. While strong imports will mechanically weigh on GDP (they are not domestic production), there should be some offsetting boost of stronger investment or inventory growth. As swings in trade flows can substantially impact GDP growth, advance trade data released a few days before Q3 GDP could be important for fine-tuning growth estimates.

Initial Jobless Claims – Citi: 191k, median: NA, prior: 194k
Continuing Claims – Citi: 1718k, median: NA, prior: 1728k

Initial jobless claims remain at very low levels, with our forecast for a further modest decline to 191k the week of October 24. Continuing claims should also remain at generally low levels at 1718k the week of October 17. Continuing claims have increased modestly over the last few weeks from September lows, a pattern that has been evident the last few years as well. This has tended to correlate with overall soft October payroll employment (private employment last year was also soft alongside a large drag from government employment). If previous patterns hold, continuing claims should move more sideways into September, but we will be watching claims in coming months (particularly into 2027) for any signs that recently tightening financial conditions are starting to weigh more notably on labor demand.

Fed Monitor

Figure 17. FOMC ranked from hawkish to dovish

Name	Position	2026 Voter	2027 Voter	2028 Voter	Term Exp.
Hammack	Cleveland Fed	Y	N	Y	2031
Logan	Dallas Fed	Y	N	N	2031
Schmid	Kansas City Fed	N	N	Y	2031
Musalem	St Louis Fed	N	N	Y	2031
Barkin	Richmond Fed	N	Y	N	2028
Venable*	Atlanta Fed	N	Y	N	interim
Barr	Board of Governors	Y	Y	Y	2032
Kashkari	Minneapolis Fed	Y	N	N	2031
Goolsbee	Chicago Fed	N	Y	N	2031
Collins	Boston Fed	N	N	Y	2031
Powell	Board of Governors	Y	Y	Y	2028
Jefferson	Board of Governors	Y	Y	Y	2036
Waller	Board of Governors	Y	Y	Y	2030
Warsh	Board of Governors (Chair)	Y	Y	Y	2030
Paulson	Philadelphia Fed	Y	N	N	2031
Cook	Board of Governors	Y	Y	Y	2038
Daly	SF Fed	N	Y	N	2028
Williams	New York Fed	Y	Y	Y	2031
Bowman	Board of Governors	Y	Y	Y	2034

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* Venable is a temporarily representing Atl Fed at Fed meetings until a new President has been chosen.

Source: Citi Research

Figure 18. Who's who in the Jun FOMC Dot Plot, in our view

	2026	2027
4.375	Hammack, Logan, Musalem, Schmid	Schmid, Hammack, Musalem, Barkin, Atl Fed*, Kashkari, Logan, Barr
4.25		
4.125	Barkin, Kashkari, Collins, Goolsbee, Atl Fed*, Daly, Paulson, Powell, Jefferson, Barr, Cook, Waller	Goolsbee, Collins, Powell, Jefferson, Waller, Paulson
4		
3.875	Bowman, Williams	
3.75		
3.625		Williams, Daly, Cook
3.5		
3.375		
3.25		
3.125		Bowman
3		
2.875		
2.75		

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*Venable is a temporarily representing Atl Fed at Fed meetings until a new President has been chosen.

Source: Citi Research

Figure 19. Citi Policy Rate Forecast

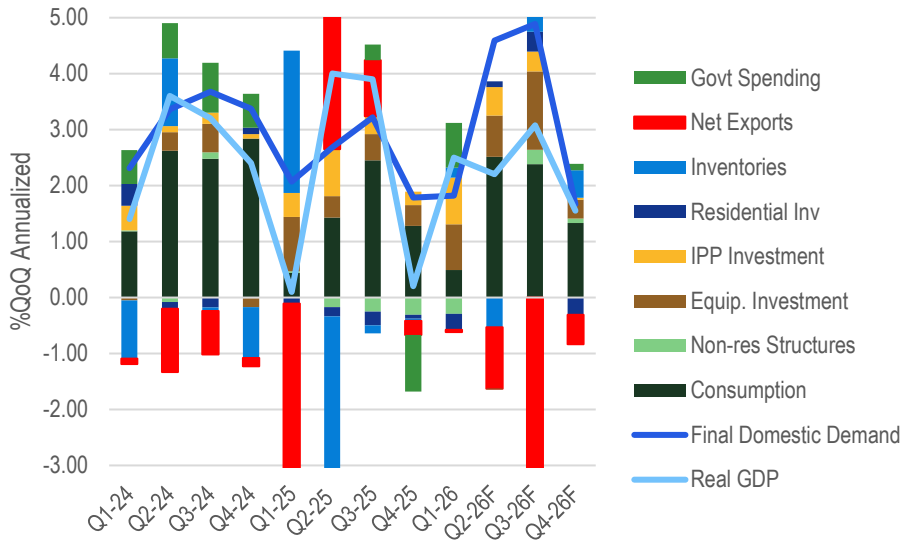
	Citi Forecast	
Fed Meeting	Policy Range	Change
16-Sep-26	3.75-4.0	0.25
28-Oct-26	3.75-4.0	0
9-Dec-26	4.0-4.25	0.25
27-Jan-27	4.0-4.25	0
17-Mar-27	4.0-4.25	0
28-Apr_27	4.0-4.25	0
9-Jun-27	3.75-4.0	-0.25
28-Jul-27	3.75-4.0	0
15-Sep-27	3.5-3.75	-0.25
27-Oct-27	3.5-3.75	0
8-Dec-27	3.25-3.5	-0.25

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Source: Citi Research

GDP Tracking

We expect a 3.1% increase in Q3 2026 real GDP.

Figure 20. GDP growth tracking



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Source: Citi Research, Bureau of Economic Analysis

Figure 21. Q3 2026 GDP forecast and contributions

	Citi		Atlanta Fed	
Component	**As Of Oct-23**	**1wk chg**	**As of Oct-20**	**1wk chg**
Consumption	2.4	1.2	2.6	0.0
Business Structures	0.3	0.2	0.2	0.0
Business Equipment	1.4	1.1	1.0	0.0
IPP	0.4	0.1	0.4	0.0
Residential	0.4	0.1	-0.1	-0.1
Final Private Domestic Demand	4.7	2.7	4.0	-0.1
Inventories	2.0	2.0	1.9	0.0
Government	0.1	0.0	0.4	0.0
Net Exports	-3.3	-3.1	-2.9	0.0
GDP (QoQ SAAR)	**3.1**	**1.2**	**3.5**	**-0.1**

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Source: Citi Research, Atlanta Fed

Inflation Forecasts

Figure 22. Citi 12-month Inflation forecasts versus market pricing

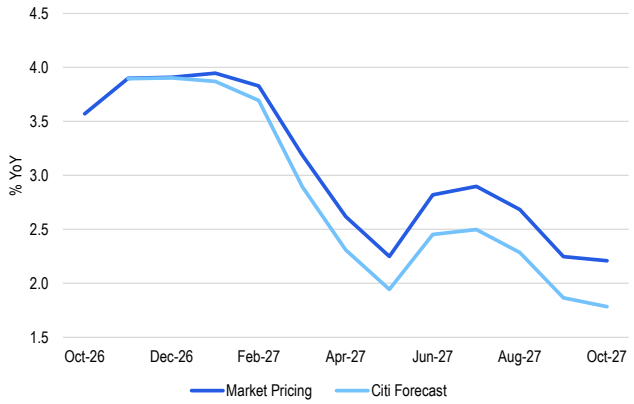
Month	Market Pricing			Citi Forecasts					
	CPI NSA Index	CPI YoY	Implied Core*	CPI NSA Index	CPI YoY	Core CPI YoY	Core CPI MoM (SA)	Core PCE YoY	Core PCE MoM
Oct-26	337.230	3.6	0.16	337.057	#N/A	#N/A	0.161	3.09	0.179
Nov-26	336.760	3.9	0.11	336.747	3.9	2.7	0.149	3.11	0.175
Dec-26	336.720	3.9	0.17	336.700	3.9	2.61	0.151	2.94	0.152
Jan-27	338.090	3.9	0.32	337.839	3.9	2.59	0.258	2.88	0.334
Feb-27	339.300	3.8	0.24	338.858	3.7	2.59	0.209	2.81	0.264
Mar-27	340.740	3.2	0.33	339.771	2.9	2.53	0.151	2.74	0.189
Apr-27	341.740	2.6	0.20	340.712	2.3	2.28	0.146	2.63	0.175
May-27	342.660	2.2	0.21	341.637	1.9	2.21	0.159	2.48	0.160
Jun-27	343.370	2.8	0.18	342.144	2.5	2.40	0.168	2.51	0.169
Jul-27	343.595	2.9	0.14	342.260	2.5	2.38	0.178	2.56	0.171
Aug-27	343.969	2.7	0.16	342.633	2.3	2.27	0.178	2.48	0.171
Sep-27	344.513	2.2	0.31	343.227	1.9	2.13	0.191	2.35	0.182
Oct-27	344.681	2.2	0.23	343.072	1.8	2.16	0.191	2.35	0.182

*market implied core CPI using Citi assumptions for energy, food, seasonal factors as of 22-Oct

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Source: Citi Research, Bloomberg

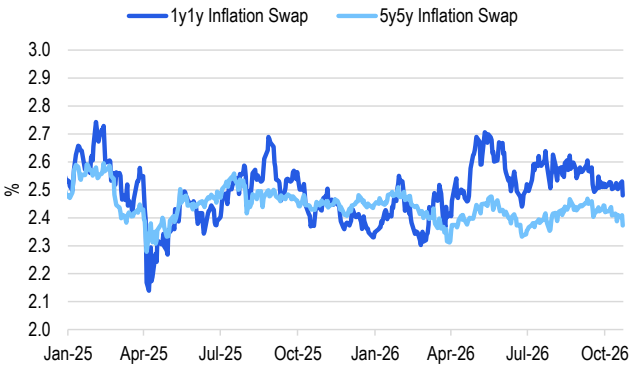
Figure 23. Citi CPI forecast versus market pricing



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Source: Citi Research

Figure 24. Market forward inflation pricing



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Source: Citi Research

Figure 25. Economic Indicators forecast

					2026				2027			
		2026F	2027F		Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
GDP	%Avg YoY	2.3	1.9	%QoQ Ann	2.5	2.2	3.1	1.5	1.8	1.8	1.8	1.8
Consumption	%Avg YoY	2.4	2.3	%QoQ Ann	0.7	3.8	3.5	1.9	2.1	2.1	2.1	2.1
Business Equip. Investment	%Avg YoY	12.4	6.3	%QoQ Ann	15.5	13.4	23.0	5.0	3.0	3.0	3.0	3.0
Business IPP	%Avg YoY	8.7	1.6	%QoQ Ann	15.6	9.2	5.0	0.5	0.5	0.5	0.5	0.5
Business Structures	%Avg YoY	-4.3	3.7	%QoQ Ann	-9.4	0.1	10.0	3.0	3.0	3.0	3.0	3.0
Residential Investment	%Avg YoY	-3.9	-0.5	%QoQ Ann	-7.6	2.8	-4.0	-9.9	3.0	3.0	3.0	3.0
Final Private Domestic Demand	%Avg YoY	2.9	2.5	%QoQ Ann	1.8	4.6	4.9	1.7	2.1	2.1	2.1	2.1
Government	%Avg YoY	0.5	0.6	%QoQ Ann	4.7	-0.1	0.6	0.7	0.7	0.7	0.7	0.7
Exports	%Avg YoY	4.0	2.3	%QoQ Ann	13.9	5.0	-5.3	4.3	3.0	3.0	3.0	3.0
Imports	%Avg YoY	5.2	5.9	%QoQ Ann	11.5	12.6	17.7	6.3	3.0	3.0	3.0	3.0
Inventories	pp cont.	0.0	0.3	pp cont.	0.2	-0.5	2.0	0.5	0.0	0.0	0.0	0.0
Headline PCE Deflator	%Avg YoY	3.4	2.6	%Avg YoY	3.0	3.6	3.5	3.7	3.3	2.5	2.4	2.1
Core PCE Deflator	%Avg YoY	3.0	2.5	%Avg YoY	3.0	3.1	3.0	3.0	2.8	2.5	2.5	2.4
Core CPI	%Avg YoY	2.6	2.3	%Avg YoY	2.5	2.7	2.5	2.6	2.6	2.3	2.3	2.2
Headline CPI	%Avg YoY	3.5	2.4	%Avg YoY	2.7	3.8	3.5	3.9	3.5	2.2	2.2	1.8
Average Hourly Earnings	%Avg YoY	3.2	3.0	%Avg YoY	3.6	3.4	3.1	2.8	2.9	3.0	3.0	3.1
Unemployment Rate	Avg %	4.2	4.3	Avg %	4.3	4.3	4.1	4.2	4.3	4.3	4.2	4.2
Monthly payroll growth	(1,000s) avg.	63.5	50.0	(1,000s) avg.	72.7	80.7	50.7	50.0	50.0	50.0	50.0	50.0
ISM Manf	Avg	53.5	52.0	Avg	52.6	53.3	54.9	53.0	52.0	52.0	52.0	52.0
Policy Range	% EOP	3.75-4.0	3.0-3.25	% EOP	3.5-3.75	3.5-3.75	3.75-4.0	4.0-4.25	4.0-4.25	3.75-4.0	3.5-3.75	3.25-3.5

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